Fixing the balance sheet remains our main strategic priority in what has been a challenging year for the retail property sector

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Financial review

2019 was a challenging year for the retail property sector with the ongoing structural changes and low consumer confidence impacting some weaker retailers and leading to a higher level of CVAs and administrations. This impacted our revenue, net rental income and property valuations, with like-for-like net rental income down 9.1 per cent and the property revaluation deficit was £1,979.7 million.

Fixing the balance sheet is our top strategic priority and although the notes accompanying these financial statements indicate a material uncertainty in relation to intu's ability to continue as a going concern we have options including alternative capital structures and further disposals to put us on a stronger financial footing.

Income statement

£m	Notes	2019	2018	Change
Net rental income	A	**401.6**	450.5	(48.9)
Administration expenses	B	**(40.5)**	(44.0)	3.5
Net finance costs	C	**(224.6)**	(220.4)	(4.2)
Tax on underlying profit	D	**(17.6)**	(0.7)	(16.9)
Other underlying amounts[2]		**8.3**	7.7	0.6
Underlying earnings[1]		**127.2**	193.1	(65.9)
Revaluation of investment and development property	E	**(1,979.7)**	(1,405.0)	(574.7)
Change in fair value of financial instruments	F	**(75.3)**	86.3	(161.6)
Other finance charges – exceptional	G	**(37.7)**	(28.4)	(9.3)
Other non-underlying amounts[3]		**14.6**	21.8	(7.2)
IFRS loss for the year attributable to owners of intu properties plc[1]		**(1,950.9)**	(1,132.2)	(818.7)
IFRS basic loss per share (pence)		**(145.1)p**	(84.3)p	(60.8)p
Underlying EPS (pence)		**9.5p**	14.4p	(4.9)p

1 A reconciliation from the IFRS consolidated income statement to the underlying earnings amounts presented above is provided in presentation of information on page 161.
2 Other underlying amounts includes net other income, share of underlying profit in associates and any underlying amounts attributable to non-controlling interests.
3 Other non-underlying amounts includes losses on disposal of subsidiaries, gains on sale of investment and development property, write-down on recognition of joint ventures and other assets classified as held for sale, impairment of goodwill, impairment of investment in associates, impairment of loan to associate, exceptional administration expenses, exceptional tax, and any non-underlying amounts attributable to non-controlling interests.

The IFRS loss for the year attributable to owners of intu properties plc increased by £818.7 million to £1,950.9 million, with the IFRS basic loss per share increasing by 60.8 pence. Underlying earnings decreased by £65.9 million to £127.2 million, with a corresponding reduction in underlying EPS of 4.9 pence. The key drivers of these variances are discussed below.

A Net rental income

Net rental income decreased £48.9 million in the year to £401.6 million. This was due primarily to the 9.1 per cent reduction in like-for-like net rental income of £39.6 million and the impact of disposals of £10.5 million (see APM – like-for-like amounts in presentation of information on page 160 for further details). The key components of the like-for-like net rental income movement were:

Presentation of information

Figures and commentary within the financial review, unless otherwise stated, are presented including the Group's share of joint ventures on a proportionately consolidated basis. See presentation of information on pages 157 to 161 for further details including rationale for alternative performance measures (APMs) used as well as reconciliations between presented figures and IFRS figures.